Earnings update

# Vertex Q3 2026: steady CF, the kidney launch sets the price

3 November 2026 · Syz Research

> **"With the potential povetacicept approval in IgAN coming later this month, we are well positioned to establish nephrology as our fifth commercial franchise..."**
>
> Reshma Kewalramani, CEO and President, Q3 2026 results release, 2 November 2026

Vertex Pharmaceuticals makes medicines for serious diseases. Cystic fibrosis drugs bring 95% of sales; Casgevy (gene editing), Journavx (pain) and Palsonify (acromegaly) add the rest. 2025 revenue $12.0bn; Nasdaq-listed, worth $140bn.

## Key takeaways

**Beat** Revenue $3.44bn, up 12% and 0.9% above consensus; Alyftrek beat by 8% as patients switch from Trikafta.

**Miss** Earnings per share $4.76, 1.2% short: costs up 19% with Crinetics; Journavx sales 13% below consensus.

**Reaction** Shares flat to 1.4% higher after hours on 2 November: the 30 November kidney drug decision matters more.

**Valuation** 27.2x forward earnings, 19% above the average since 2020: approval is largely priced, launch uptake is not.

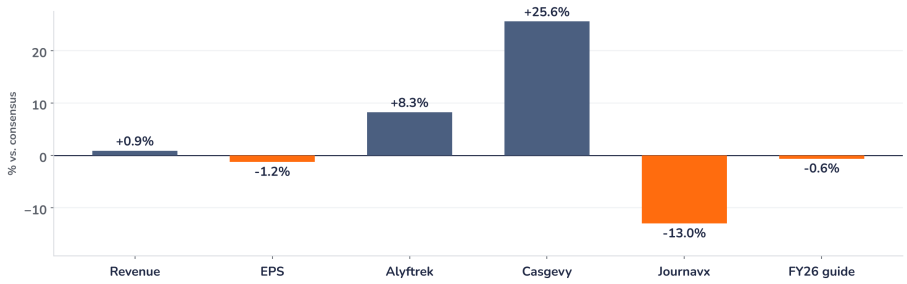
| Revenue | Non-GAAP EPS | Alyftrek | FY26 revenue guide (mid) |
|---|---|---|---|
| **$3.44bn** | **$4.76** | **$706m** | **$13.2bn** |
| +0.9% vs. consensus | −1.2% vs. consensus | +8.3% vs. consensus | −0.6% vs. consensus |

## A mixed print, a muted move, a bigger date

Revenue of $3.44bn beat consensus by 0.9% and non-GAAP earnings per share of $4.76 missed by 1.2%, and the shares were little changed after hours on 2 November (flat to +1.4%): a mixed print met by a muted move. Cystic fibrosis delivered, Casgevy surprised, Journavx lagged. The 30 November decision on povetacicept (pove), its kidney drug, matters more.

**Chart 1 · VRTX: Q3 2026 results vs. consensus**

Reported vs. consensus, % · Casgevy vs. the midpoint of $76–82m estimates · FY26 guide: revenue guidance midpoint vs. consensus of $13.28bn




Alyftrek, the once-daily successor to Trikafta, beat by 8% and Casgevy by about 26%, while Journavx fell 13% short although prescriptions rose more than 40% on the quarter. Earnings missed because operating costs rose 19%, mostly for the Crinetics acquisition and the kidney launch. The guidance midpoint sits 0.6% below consensus.

## Base case and implications

The case remains constructive and the risk/reward modestly skewed to the upside. We underwrite a cystic fibrosis franchise growing in mid-to-high single digits as patients move to Alyftrek, and new medicines lifting non-cystic fibrosis revenue towards 30% of sales by 2030, an analyst estimate. The catalyst is an on-time pove approval on 30 November, then kidney data in early 2027. With the shares up 17.5% since early August, approval looks largely priced: launch uptake and the 2027 guidance, due with fourth-quarter results, are the next tests.

**What would strengthen our view**

Pove approved on time by 30 November, with no extra monitoring; Journavx revenue catching up with prescriptions in Q4; inaxaplin interim kidney data in early 2027 supporting a US filing.

**What would change our view**

A delay or a restrictive pove label; Casgevy and Journavx below the ~$134m needed in Q4 for their $500m goal; Alyftrek switching slowing; 2027 costs rising above this year's $6bn.

# Beyond the key takeaways

## Results: Alyftrek and Casgevy did the work

Total revenue rose 12% to $3.44bn, 10% in the US and 16% outside, where currency helped. Cystic fibrosis revenue grew 7.7% to $3.27bn. Trikafta fell 8% to $2.44bn as patients switched to Alyftrek, which nearly tripled to $706m: Alyftrek is now 22.5% of the two medicines against 8.5% a year ago, and is reimbursed in 32 countries. The switch helps margins, as Alyftrek carries a lighter royalty. Casgevy reached $99m, up 30% on the quarter, with more than 100 patients starting treatment for a fourth quarter running; Journavx grew 18% to $58m and Palsonify added $10m in September, its first month.

Revenue beat by 0.9% and earnings per share missed by 1.2%, and the shares were broadly unchanged after hours on 2 November: surprise and reaction are aligned, a mixed print and a small move. The confirmed driver of the miss is costs, not sales. Combined non-GAAP operating expenses rose 19% to $1.53bn with Crinetics, the kidney franchise build-out and the Journavx launch, taking the operating margin to 41.0% from 45.0%, while interest on the $4.5bn term loan cut net income 2%. Journavx revenue grew less than prescriptions; analysts attribute the gap to patient assistance programmes. We think investors looked through the quarter to 30 November.

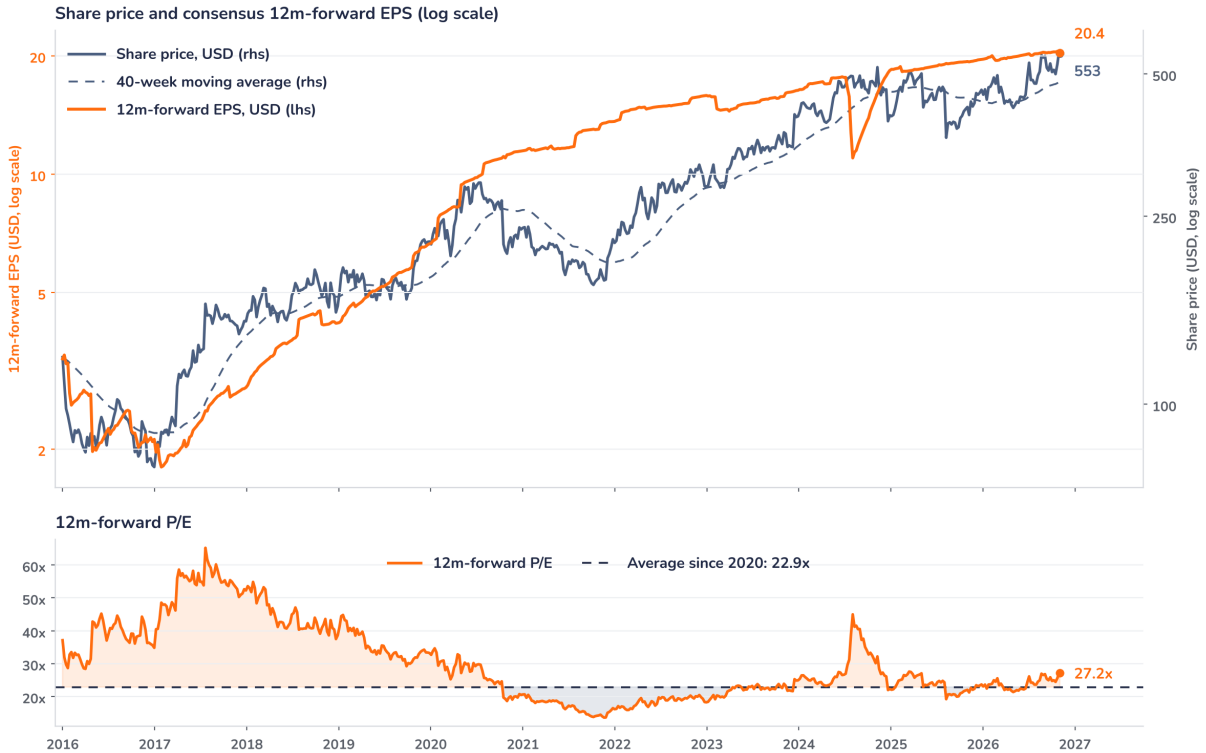
## Outlook: Palsonify lifts sales and costs

Vertex raised its 2026 revenue guidance by $50m to $13.15bn to $13.25bn, matching the $40m to $50m Palsonify is expected to add after the 1 September close of the Crinetics acquisition: the guidance for the existing business is unchanged. It implies fourth-quarter revenue of $3.39bn to $3.49bn, flat on the third quarter at the midpoint. Casgevy and Journavx are still expected to reach $500m or more together; analysts estimate about $134m is needed in the fourth quarter, against $158m in the third. Operating expense guidance rises to about $6.0bn from $5.65bn to $5.75bn, all from Crinetics, where analysts expect around a fifth of costs to be saved within a year.

## Valuation: a premium the launch must earn

**Chart 2 · VRTX: share price vs. consensus earnings and valuation**

VRTX US Equity, daily data sampled weekly, 2016 to 2 November 2026 · BEst 12m-forward consensus · 40-week simple MA · log scale · P/E shaded vs. its 2020 to 2026 average · last price is the 2 November close, before the release




The shares trade at 27.2x 12-month forward earnings, 19% above the 22.9x average since 2020, when Trikafta made Vertex a mature earner, and above the 23.8x one-year average. The rerating is recent: the price rose 29.8% over 12 months against 5.2% for consensus earnings, and 17.5% since early August against 1.5%. At $553 the stock sits 15% above its 40-week moving average, near its 52-week high. Consensus earnings slipped 0.4% on 3 November with the higher cost guidance. At an unchanged price, earnings would need to rise 19% to bring the multiple back to its average.

**SYZ** Source: Syz Research, Bloomberg, company filings, Vertex Q3 2026 results release of 2 November 2026, analyst research notes of 2 and 3 November 2026

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